BUSINESS DATA MANAGEMENT

Lecture02

Economics

In the previous video, we discussed some of the basic concepts of economics and we arrived at the definition of economics as well, which is the science of constrained choices. So we started with understanding needs, wants and what we refer to as desire, wherein I said that need is essential for survival and well-being. Once the basic needs are satisfied. That is when people start thinking of wants, and wants are used to enhance the quality of life.

And then we have something called desire. The difference between wants and desire is a form of affordability. We then discussed briefly the differences between macroeconomics and microeconomics as well. But the summary from the previous video was that human wants are unlimited, or what we call as human beings have unlimited wants, infinite wants, or what we call as insatiable wants.

But the resources that are required to meet these wants are what we call as finite, or what we call as scarce in nature. So the resources that are required are scarce in nature. And because we do not have all that we want, proper allocation of the resources have to be the scarce resources need to be kind of allocated well and this is what we refer to as the economic problem and economics is all about dealing with this now let's say that if the human wants are finite and the resources are what we call as unlimited then we do not have what we call as the economic problem and then there is no economics.

However, this is not the case. So the idea is that the human wants are always unlimited or infinite and that the resources are scarce in nature. Now that we have understood this, let's try to understand today what is demand. So demand is nothing but desire, which is backed by the ability and willingness to pay.

So this is what we refer to as demand. So let's try to understand. So I said that desire is mostly based on emotion, but a person might want to purchase a product but may not have the funds to do so; that is what we refer to as a desire. But what is a demand? A person, let's say, a person from a low-income group

wants to buy a luxury car. Okay? A person from a low-income group wants to buy a luxury car. This cannot be considered, this cannot be considered as a demand by the company because the person has no purchasing power or what we refer to as lacks the ability to buy, does not have the ability to pay the price.

So anyone without purchasing power cannot demand a good /service. So this is what we refer to as demand. And as you go in the next weeks, there will be topics which will be discussed with respect to what we call as demand and supply. While in this video, I'll be covering the basics of economics, kind of try to give you an idea of what economics is, in the live sessions, which would be conducted by my colleague, Dr. Aditya Chandel. More practical things would be explained, problems would be taken up, and there would be kind of more kind of discussions.

Now that we know this, one of the things is that economics is rooted, it is rooted in in fundamental concepts, fundamental concepts such as scarcity, utility and marginality. So this is what it is. We know what scarcity is. Scarcity is what we refer to as something which is short in supply and

We shall discuss all these three things today, which is what is scarcity, what is utility, and what is referred to as marginality as well. But before that, in the last session, we discussed briefly with respect to what we call as macro and microeconomics. So today let's try to understand the difference between microeconomics and macroeconomics a bit in detail. Macroeconomics. Now what is this microeconomics?

Now, the term microeconomics comes from the Greek word. It comes from the Greek word, which is called as micro, which means the meaning is it is small. So microeconomics focuses on what we call as the smaller parts of the economy. It

focuses on individual consumers, businesses, etc and the financial decisions that they make so this is what we refer to as microeconomics and it involves looking at the society from bottom up .so this is what we refer to as microeconomics so what is this microeconomics

The focus is on smaller parts of the economy. It kind of focuses on individuals, individual consumers, businesses, etc., and the financial decisions that they make. And it involves looking at the society from bottom up. Now, what could be some of the examples for this? Now, if you look at IPL, which is known as Indian Premier League, the cricket league, which is every year that we have this IPL.

For those who are interested in cricket, which I believe many of you are interested in cricket. Now, every franchise, let's say every team, which is, there are some 10 teams, right? There is RCB, there is CSK, there is Delhi Capitals, there is Punjab Kings, etc. Wants the best players. And what do I mean by this?

Every team will want the best players, the best batsmen, the best bowler, the best all-rounder, the best wicket-keeper, the best captain. However, what happens is that they have limitations. They have limitations or constraints on the squad size. And the budget, they cannot spend however much they want. They have certain limitations.

So they will have a cap, a ceiling, which is what we refer to as those limitations. The other example is if a consumer spends more time for work, they have less time for leisure activities. The third example is you might know about these Trump tariffs or let's say the recent geopolitical tensions because of which the supply chain is disrupted. Now what is its impact on the individual consumers and businesses? This is also what we refer to as a microeconomic problem.

So this is what microeconomics is. Now coming to macroeconomics. Macroeconomics comes from the Greek word which is what we call macro, and this refers to macro as larger. It focuses on the economy as a whole, focuses on the larger part of the economy, or what we call the economy as a whole.

So while microeconomics involves looking at the society from bottom up, macroeconomics involves looking at the society, looking at the society from what we call as top-down. This is what macroeconomics does. Now what could be the different examples? If let's say the government allocates more budget for let's say education,

They will allocate less budget for infrastructure. So this is what we refer to as a macroeconomic problem. Or taking the example of the Trump tariffs or the geopolitical disruptions, What is the impact of Trump tariffs or what is the impact of the recent geopolitical tensions? Because it has disrupted the supply chain because of which the fuel supply is impacted, not just for India, but for other countries as well.

What is the impact of the Trump tariffs or geopolitical tensions on the Indian economy as a whole? On, let's say, inflation, the GDP, the employment rate. This is what we refer to as a macro economic problem. And what is the other example? The other example is how government steers the economy, how government steers the economy by increasing or decreasing the taxes.

This is what we refer to as a macroeconomic problem. So this is what we refer to as a macroeconomic problem. So again, economics, as we discussed, is classified into two types. Economics is classified into microeconomics and macroeconomics. Microeconomics focuses on smaller parts of the economy, for example, individual consumers, businesses, the decisions that they make, whereas macroeconomics focuses on the economy as a whole.

The topics, both of them are very much in detail. However, here, the idea is to provide you some preliminary understanding as to what this means. So I've given you this example where what happens in microeconomics is you look at the society from what we call as bottom up, whereas macroeconomics involves looking at the society from top down. And what happens further is that individuals, individuals /what we call as households, individuals or households, They sell their labor to what we call as firms and earn money.

So this is how individuals and households earn money. Firms, in turn, are dependent on individuals. Firms in turn are dependent on the individuals who in turn produce the item the firm sells. So this is how they what firms do these firms make use of these individuals and also kind of dependent on these individuals because. They are the ones who produce the items, the goods, and which the kind of firm sells, let's say at a kind of profit.

So this is what it is. Now I told you in the earlier discussion that economics is kind of rooted in fundamental concepts, which is scarcity, there is utility, and there is something called as marginality, all of which we shall discuss now in detail. Now, the first thing is what we refer to as, let's make use of a new page. The first thing is what we call as scarcity.

Now, what does the term scarcity mean? It means that there is a short supply. Scarcity is what we refer to as short supply. Now, what is short in supply? As I said,

Theoretically speaking, there are unlimited human wants or there are unlimited human demands and the resources that are required to meet these unlimited demands are always scarce in nature. So unlimited wants and scarce resources and scarce resources kind of creates an imbalance; because it is not balanced. On one side you have more, and on the other side you have a scarcity, so there is an imbalance which kind of leads to what we call a scarcity. However, what happens is, if the human wants are finite and the resources are unlimited, then there is no need to study economics; there is no economic problem. However, this is never the case; always there is scarcity. What does this further mean? So theoretically speaking, theoretically speaking, the human wants are unlimited.

Or let's say there are unlimited human needs. Demands, is it okay? As you go ahead, you will study more about demand and supply, but I'll explain to you what demand is. Demand is backed by the ability to pay. So there is a desire plus the ability and willingness to pay.

And anyone without purchasing power cannot demand what we call a good and service. So demand is something; think of demand as something that comes with what we call purchasing power. Now, theoretically speaking, the demands are unlimited. However, the resources are scarce.

Now what are the scarce resources? We know that land is scarce land, capital, labour, production, technology, knowledge, time, etc. All these are what we call resources. They are scarce in nature.

Now what you see is that there is an imbalance which is happening because of this. Now let's try to understand what are the causes of scarcity. And the causes of scarcity are kind of categorized into what we call as categorized into three types. One is called demand-induced scarcity.

You have something referred to as demand induced scarcity. Then you can have something called supply induced scarcity. And then finally, you have something which is called structural scarcity.These are the three kinds of scarcity. Now let's try to understand the first one, which is what we call demand induced scarcity.

Now what is this demand induced scarcity? In demand induced scarcity, the supply remains the same. However, the supply remains the same. However, the demand the demand for the resources is increased, or the demand for the resources kind of is increased, or demand for the resources what we call goes up.

And this could happen when this could happen when the population and the population goes up as the population increases what happens is demand for the resources naturally goes up or let's say demand for a particular product, demand for a particular product is increased. So what happens in demand-induced scarcity? We see that in demand-induced scarcity, what is happening is that the supply is kind of the same. However, the demand for resources has increased.

And this could happen naturally when we know that as the population goes up, we see that the demand goes up as well. or let's say that a demand for a

particular product is increased, then it results in what we call as demand induced scarcity. We have the second one, which is what we refer to as supply induced scarcity. Now what happens in supply induced scarcity is that the demand remains the same. However, the

Supply reduces. Now this is the opposite. Now what is supply-induced scarcity? The demand is more or less the same, but what is happening is the supply kind of reduces. Now what are the examples for this?

The example for this: think of this as the recent geopolitical tensions, assuming that the other things are constant. The recent geopolitical tensions assume that the demand was kind of fixed, has created disruptions in supply chain with respect to tool and associated products. Okay. And because of which it has created what we call, you know, supply-induced scarcity, or think of it as, you know, the other example for this could be, let's say, a crop failure. Heavy rains, crop failure, you know, crop failure happens.

And when this crop fails, kind of fails, what happens is that also it kind of creates the supply is kind of impacted, the supply is kind of hit. Or this could also be because of a factor called force majeure. Force majeure is kind of, you know, an act of God. Let's say heavy rains, some natural calamities because of which, the supply could be hit, but the demand more or less remains the same, right?

The recent geopolitical crisis is a very, very good example, which is a very good example. So WRT here means with respect to fuel. So you see that what has happened because of this, everybody is impacted. You know, some places are even more impacted. We kind of see that there have been talks now saying that reduce the consumption of fuel or kind of focus more on work from home on the focus of usage of more renewable energies, etc.

Because of these kinds of scarcity. And the third one that we have is what we refer to as structural scarcity. So the third one that we have is what we refer to as structural scarcity. Now, what is structural scarcity? Now, structural scarcity is

nothing but when some people tend to have less access to resources in comparison to others.

So what is this structural scarcity? In structural scarcity, what happens is some people tend to have less access to resources in comparison to others. Now, what is an example? A good example for this could be, so people, let's say people living in rural areas, like say, let's say villages, tend to have lesser amenities in comparison to people who stay in tier one cities or who stay in urban places, urban areas.

When we say urban areas, it is like your tier one city. So what are these amenities? For example, these amenities could be in terms of healthcare. So if you look at it naturally, cities, tier one cities tend to have better access to healthcare, let's say, other services of the government, let's say passport facilities, passport seva kendra, or, you know, banking and other services and many other things as well.

So, you know, they tend to have less access to resources in comparison to people who stay in what we call as rural areas. Now, the other thing that comes is, now that we have understood what we refer to as scarcity, The next thing that comes is what we refer to as utility. Now what is utility? In economics, utility refers to the satisfaction consumer, the satisfaction consumer gets upon consumption

of goods and/or services. So this is what we refer to as utility. So utility in economics is nothing but the kind of satisfaction that the consumer gets upon the consumption of what we call goods or services. And this utility kind of influences the economic decisions. This utility refers to what we call as, it kind of influences what we refer to as economic decisions.

Now let's say that, for example, for instance, two people buy a coat, let's say. It is very unlikely they will experience what we call the same utility. Let's say two people buy a coat, a jacket. It is very unlikely that both will experience. Both may not experience the same kind of satisfaction.

Now why is this? So let's say that person A may use this more frequently as he or she stays in a colder climate. So obviously in this case, the utility is higher versus person B who stays in a warmer climate, who stays in a warmer climate and may use this less frequently. So this is what we refer to as utility.

So this is what utility is. Now what happens in the concept of utility is that, what happens in this concept of utility is that, let's say two people buy a coat, And it is very unlikely both of them will have the same levels of utility. For example, if a person who uses this coat stays in a colder climate, he or she would have a higher level of utility in comparison to a person who uses it occasionally and who stays in a warmer climate. Now there is something which is called marginality here.

So the next concept under this is what we refer to as marginality here. Now, what is the meaning of marginality? It is nothing but people don't make what we call as economic decisions. All in one go, all in one go, but they do, but they do make it what we call as bit by bit. And this is what we refer to as marginality.

Kind of, we refer to as marginal. This is what we refer to as marginality. Okay, so this is what we refer to as marginality. Now, there is something which is now referred to as law of diminishing marginal utility. You may come across this very commonly.

which is called the law of diminishing marginal utility. But before understanding what the law of diminishing marginal utility is, let's try to understand what we mean by marginal utility. Now marginal utility is nothing but marginal utility is nothing; marginal utility is nothing but the incremental increase in utility, which is derived from the consumption, that is derived from the consumption of one additional unit, one additional or let's say extra unit. That is what we refer to as marginal utility.

Your satisfaction, let's say, increases by a margin. So that is what it is, incremental, a margin. So what do you mean by, now we know what marginal

utility is. Now let's understand what the law of diminishing marginal utility is. As the consumption, as the consumption increases, the marginal utility

Associated with this kind of decreases or what we call as comes down. Now, what is the meaning of this? Now, let's say that a person has an ice cream. So think of an X and Y axis. X axis is the quantity of ice creams consumed and Y axis is what we call as utility, which is called a satisfaction.

Now, when the consumer consumes the first ice cream, The utility derived from the consumption, the pleasure that is derived from the enjoyment that is the utility or the satisfaction derived from this particular consumption is the highest. Why? Because it's the first ice cream that you're having. Assume that it is good and the utility which is associated with this particular consumption is the highest.

Now, what happens? So the first one kind of gives you what we call the greatest pleasure. Now what happens when you eat the second one? Assuming it is the same size, we will discuss some of the assumptions on this. But let's say that as the consumption goes up, the enjoyment might kind of decrease.

And this is because the consumer is tired of consuming it because of the same thing or kind of feels full. So which means that the first ice cream when you eat, you get the highest satisfaction. When you eat the second ice cream, the satisfaction is not the same because already you have kind of tasted it. So it kind of comes down and as you do it, so what is happening is there is a marginal, the diminishing utility, the decline is happening.

Okay, so it is kind of coming down. And what happens, let's say that you're full and you overconsume, this marginal utility can also become what we call negative. It can turn to what we refer to as negative utility. So similarly, when you are hungry, let's say you consume a first slice of pizza. And that kind of gives you the very maximum pleasure.

However, what happens when you consume the second slice? The satisfaction is there, but it comes down. It is lesser than what you had than your first

satisfaction that you consumed. And as you consume more, the satisfaction drops down. And when you overconsume, this turns to what we call negative utility.

which means that as consumption increases, the marginal utility, which is associated with the consumption, also, what we call, decreases. Now, there are certain assumptions. The law of diminishing marginal utility makes... Several assumptions. So there are several assumptions made in the law of diminishing marginal utility.

I'm going to populate only a few ones. The first thing is that the items that are consumed are identical. Okay, which means you consume the same items. I mean, you may not find this dip if the items consumed are not identical. So assume that when you're eating ice cream, it is the same ice cream that you're eating, right?

So the items that are consumed are kind of identical in nature. And the units or items are consumed quickly and there are a few breaks in between. Okay, so this is the second one. The third one is that the customer, the consumer is in a position to make rational decisions. That is what will come next.

Rational is they're able to think and make kind of decisions with respect to what we call as consumption. The fourth one is that the items can be measured. So this is what it is, is the fourth one. The fifth one is that the consumer's taste remains what we call as constant.

So the consumer's kind of taste remains kind of constant too. And units that are consumed are neither too big nor too small. So this is what we refer to as, these are the different assumptions when we discuss this on what we call as law of diminishing marginal utility. Now this law of diminishing marginal utility kind of affects, think of this as it affects on how kind of businesses price the goods and services.

So let's say that you want to buy a backpack, a bag and you go to a store. The store has the following pricing. The store has the following pricing for backpack. Okay. If you buy one backpack, it comes for

300. So in the next video, you'll also be learning about something called economics of scale and scope, which I'm not covering now, but let's say that which you might have also seen that as the volumes go up, the kind of price kind of comes down, right? So the first backpack, let's say you buy one, comes for 300. When you buy a second, when you buy two, buy two at 550 rupees INR. Let me write INR as well.

Okay. And buy three at 750 INR. Is it okay? So, you know, the store has the following thing. As a consumer, I want to buy a backpack.

I walk into a store and the store has the following thing. So, what happens here is the consumer gets the best price. The consumer gets the best price per backpack if they make the last choice. Okay, so if they buy more, if they take the last choice.

But what happens, what happens in actual reality is that all the prospective buyers All the prospective buyers will not want to buy three backpacks even if it gives them what we call a good deal. Even if it gives them a good deal, people do not want to buy three. Why? Because I just want to buy one.

So if I want to buy one backpack, I mean, if I want to buy a backpack, I would need at least one. And it is for this reason the first backpack is always priced higher. And it is for this reason the first backpack is always priced higher. So anyone who buys a backpack would at least need one. And it is for this reason that the first kind of backpack is priced kind of higher.

Now, the company... will have to decrease the cost per unit. The company will have to decrease the cost per unit to persuade or persuasion is nothing but to convince the customers to buy more buy more because if this is not done buy more because as per the law of diminishing marginal utility what happens is that

as you buy more if this is kind of not done there is what we call as diminishing marginal as you buy more backpacks what happens is the marginal utility kind of comes down and in order to avoid this, what they do is that if you want to make the consumers buy more, you have to kind of decrease the prices because if you keep prices the same, there is going to be what we call as a diminishing marginal utility, so I hope this kind of gives you a better understanding of what utility and what diminishing marginal utility is

There is also something called marginal cost and what we call marginal utility equal to marginal cost, the point where they intersect. So what happens with the utility is that as the quantity of consumption increases, the utility kind of reduces, right? And what happens is as marginal cost has the quantity of consumption increases, the marginal cost increases. And that intersection where utility is equal to cost, the customer no longer derives satisfaction from additional consumption.

We shall discuss this. We shall solve these problems in the live session. But just to kind of summarize here, in economics, there is a concept which is called utility, which is nothing but the satisfaction the consumer gets from the consumption of what we refer to as goods or services. And if two people buy something in common, it is very unlikely that both of them will have the same levels of utility.

So if a person is using it in a colder, I give the example of a coat, somebody who buys this in a colder climate may experience higher utility in comparison to somebody who is using it in a warmer climate. And then we came to this concept of marginality, where we say that people do not make economic decisions in one shot, but they decide this in what we call as bit by bit. And what is this marginal utility? Marginal, by a margin. Utility is the satisfaction, right?

So it is the incremental increase in utility or satisfaction, which is derived from consumption of an additional unit. But there is something called as law of diminishing marginal utility, which means As your consumption goes up, the utility decreases by what we call as diminishes or decreases by a margin. So that is

what it is. So let's say that when you consume the first ice cream, the pleasure, the enjoyment that you get from consuming it is the highest.

And as you consume more, what happens is this comes down because people may be full or they may be tired of this particular taste. And then you overconsume. This would also turn to what we call negative marginal utility. Again, marginal utility kind of makes several assumptions, which are kind of listed here. And then finally, you have something which is referred to as like I've given you an example of what the stores can do if you see that they have if you look at any of these stores, this is how they do the pricing.

And this is based on the law of diminishing marginal utility, which means that they cannot price the same because if they price the same, what is happening is that as the consumption increases, there is going to be diminishing marginal utility. And in order to avoid that, this is how actually they kind of price. So this is what it is. Now we go to the next concept, which is what we refer to as rationality. So we said that economics is rooted in three fundamental concepts.

In fundamental concepts such as scarcity, utility, and rationality. We have discussed what we call as scarcity and utility. And now we go to something which is called as rationality. Now what do you mean by rationality? We say that human beings are rational animals.

Now what we say by rational animals, which means that when we make some decisions, it is based on certain rationalism thinking, right? So, you know, we think and when we make decisions, it is based on certain thought process. We do not, I mean, yes, we make some decisions based on which we call as impulse buying as well. But typically when we take, when we tend to make certain decisions, it is based on certain thought. Now, think of this as something called as there is something called as cost benefit analysis.

Now, what is this cost benefit analysis in week three as you go to something called as the difference between B2B and B2C? There we have something called as organizational buying behavior where we say that, When organizations do

buy, they have certain assessment capsticks, which are called as critical or key success factors. Let's say that if an organization wants to buy a product, a good, and they have two or three vendors, suppliers, how do they decide? It is based on this rationality principles, based on certain cost benefit analysis.

It varies. There's nothing like it's the same thing, but it kind of varies across organizations. So what they do is that they take certain factors, but you will see this as we go to that week three, which is important to them. Let's say pricing, service, product quality, service quality, brand image, etc. They kind of make certain allocations or add certain weightage and they do a rating and whichever is the highest rating, that is what they kind of consider.

Now, what is this cost benefit analysis? The cost benefit analysis is businesses or individuals, they make a cost benefit analysis or what we refer to as an assessment, which you might have heard. And they tend to make choices. They tend to make choices when benefits outweigh costs. OK, people tend to make choices when benefits outweigh costs, which means benefits are greater than costs, which we also call as

Benefits outweighs costs. OK, so this is what it is and may not make decisions and may not make decisions when costs outweigh benefits. OK, when what we call as costs will outweigh benefits, they may not make decisions. They may not be comfortable. Now, you might ask me, is this the case every time?

The answer is no. So let's say that the choices are less. There is something called availability of alternatives. Now, what is this availability of alternatives? Availability of alternatives where the choices to the customer are less.

We say that in B2C, the choices which are available to the customer are higher. If you don't want one brand, you can easily switch to other brands. So when you have more choices, the switching cost, costs incurred in switching, moving from one brand to another, is actually less. The switching cost decreases . But what happens in a B2B kind of situation is that the switching costs are actually kind of higher, which means that since the availability of alternatives, the options, the

choices that you have are less, what happens is the switching costs that are involved are actually more.

Now, in this particular thing, we discuss a topic. We write it in a first fresh page, which is what we call as opportunity costs. Now, before we understand what opportunity costs, so there is an American, Israeli-American, I think he's an economist by name Dan Ariely, who kind of mentioned, it is one of his quotes that every time you spend money on something, you are not able to spend it on something else, correct? We do not have, again, as I said, it is also scarce, these resources.

So every time you spend money on something, you're not able to spend it on something else. Now what is this concept of opportunity cost? Now we do hear a lot about these opportunity costs. So what is this opportunity cost? When the consumers make a choice,

They decide on a choice, they have to, they have to, or let's say they need to give up, which is sacrifice or reject the other choices. So when I make one choice, I have to reject the other choices. The cost associated, the cost associated with such lost opportunities such lost opportunities is known as opportunity cost. The cost associated with such lost opportunities is what we refer to as opportunity costs.

This is what the economists refer to as opportunity cost. When I make one choice, I'll have to kind of give up on my other choices. And the cost associated with such lost opportunities, what we call as opportunity cost. Now, what is the example? Now, let's say that, let's say that

You wish to buy, You wish to buy some groceries. Okay. You wish to buy some groceries. So there is a store nearby.

There is a store nearby your home. Okay. That sells groceries. Things at MRP. So which is understandable also, right?

So something which is close by, they sell things at MRP. You also have an option to purchase things at a supermarket, which is a kilometer or 15, 20, let's say, which is a 15, 20 minutes drive from your place. Sorry, this is where there is. So let's say that you wish to buy some groceries.

So when you, when the consumers make a choice, so just coming to the economic cost, now what happens here is every time that you spend money on something, you're not able to spend it on something else. And this is what we, this was a statement given by Dan Ariely. So what happens is when the consumers kind of make a choice, they need to give up on their other choices. And the cost associated with such lost opportunities is what we refer to as economic opportunity costs. Now, let's say that you wish to buy certain groceries.

You have a store which is nearby your home, but if you buy there, They sell everything at MRP, the maximum retail price. Now, you also have an option to purchase this in a supermarket, let's say a D-Mart or Reliance Fresh or Spencer's, which is a 15-20 minutes drive from your place. Now, if you choose to buy at the place nearby your home, the extra money that you paid that you paid would be used for something else.

The extra money that you paid could be used for something else. So this is the opportunity cost. However, if you, however, let's say If you buy at the supermarket, the time spent in reaching there could have been utilized for something else. The time spent in reaching there could have been utilized for something else.

Now, that is what we refer to as the opportunity cost. Now, how does one make decisions? And that is where I said there is something called a cost benefit assessment, which varies from person to person, individual to individual, which is based on what they think. This is a subjective assessment based on what they think is important. For me, I might think that I don't want to waste my time.

I'll buy it kind of nearby. So in that case, the extra money that I pay can be utilized for something else. But if some of them might think that, okay, let's go

there, enjoy and shop because there is a discount as well and you get some, you know, you can enjoy, you have a variety to shop, a nice, better ambience, et cetera. In that case, you may make that choice as well. So now the cost which is associated with lost opportunity is what we refer to as opportunity cost.

What is the other example? The other example is that, let's say I spent, 150 hours in preparing for the BDM theory lectures and kind of recording them. Now what is the opportunity cost here? I could have utilized this 150 hours to do something else.

So that is what we call as opportunity cost. Or let's say that I pay thousand rupees and go to watch a movie. I could have utilized that thousand rupees to do something else. That is what we call as the opportunity cost. Or in terms of businesses, you might know that businesses have two options: produce versus what we call as outsource. And what is this produce versus outsource? Produce versus outsource: whether a company kind of needs to make a product, do they need to produce or do they need to outsource? This is also based on certain kinds of decisions. Now, every company has an objective. And what is this objective?

A company may have an objective that they want to maximize utility, or they may want to have an objective which is called minimize the cost or increase the, enhance the savings. So what they do is they do some kind of mathematical modeling. Cost benefit analysis is one. So they may do some mathematical modeling and they may arrive at certain results. And then they tend to decide on what to do based on which is closer to the objective that they have decided.

So this is how it is being done. So every time if you produce, there is an opportunity cost there as well. That extra time could be used for our resources, could be used for something else. When you outsource, there is an opportunity cost. Well, that extra money that you have spent could have been utilized for something else.

Now, the final topic in this is what we refer to as specialization. Now, what is specialization? What happens in most countries? What happens is that people tend to earn money by specializing. People tend to earn money by specializing in particular tasks, such as farming, nursing, etc.

Now, this is also known as division of labor. Okay. So this is also known as division of labor. So what happens? People earn money by specializing in particular tasks.

Maybe, like, let's say farming, making certain furniture, some kind of nursing, etc. Now, this is what we call division of labor. Now, your economic sectors, economic sectors, Sectors are classified into four types. The first is primary.

Then you have secondary. Then you have what we call tertiary. And then you have Quaternary. So these are the four sectors. Now, what is this primary sector?

Workers, In Primary sector workers in this particular sector extract raw materials from the earth, Mother Nature, for example, fishing, fishing, farming, mining, etc. So this is what we refer to as, or you know, forestry. This is the primary sector. Now what happens in the secondary sector? Secondary sector, this involves conversion. This involves conversion of raw materials into what we call finished products, okay?

Vital utilities like electricity, vital utilities like electricity and let's say fuel is also something that comes here. And then we have what we refer to as a tertiary sector. Now, what happens in a tertiary sector is that this is a service sector, which means there is finance, IT, retail, entertainment, travel, hospitality; everything is tertiary sector. And then we have something which is called a quaternary sector. And what comes in quaternary sector is, you know, you have your scientific

R&D, which is what we refer to as research and development. Then you have education, public sector. All this is what comes under the quaternary economic sector. So they are classified into four types: primary, secondary, tertiary, and

quaternary. I hope this kind of gives you some understanding of some of the basic concepts.

But in order to just summarize kind of what we have discussed, So we started with this concept. We started with what we refer to as needs, wants and desires, where I said that needs are quintessential needs, which are essential for survival and well-being. Which are food, clothing, shelter and health care. Once the basic needs are fulfilled, people start thinking of wants, and wants are used to enhance the quality of life, entertainment, travel.

Then comes what we call desire. And what happens in desire is that it is driven by emotions. Desire is something that is driven by emotions. And the difference between want and desire is a form of affordability. But we may have a desire, but that does not mean that we have a purchase.

We do not have purchasing power. And that is when the concept of demand comes in. So demand is nothing but desire backed by the ability to pay and the willingness to pay. So any If a person does not have purchasing power, they cannot demand a good or service.

I can have desires, but demand is nothing but desire backed by ability and willingness to pay. We then discussed economics. We know the definition of economics, which is all about allocation of scarce resources to satisfy unlimited human wants or how goods and services are produced and delivered. And why is it that individuals, businesses and governments make the spending decisions that they do? So this is what economics is.

Economics is classified into two types. I mean, it is rooted in fundamental concepts, which are scarcity, utility and marginality. It is kind of classified into two types. One is microeconomics. Micro is, as the name says, smaller.

Macro is larger. While micro focuses on small parts of the economy, macro kind of focuses on what we call larger parts of the economy. And this constraint choices is applicable both in micro and macro and the decision maker has to

make the best decision subject to these particular constraints. So the impact of, let's say, certain policies on the economy as a whole, inflation, GDP, employment rate, it comes at a macro, a bigger umbrella where you look at the society from top down. Whereas in micro is all about what is the impact of these decisions on the individual consumers, on the businesses, employees, etc.

We then discuss that there are individuals and households. What they do is that They sell their labor, they work hard and they sell their labor to firms and they earn money from them. And firms are kind of dependent on individuals and kind of who produce the items that they sell. And I said that we have something called a scarcity, which means that it's a shortened supply.

So theoretically speaking, there are unlimited wants or demands. But the resources that are required are scarce in nature. So it could be land, capital, labor, production, natural resources, et cetera. And there are three causes of scarcity. The demand-induced scarcity, what happens in a demand-induced scarcity is that the supply is the same, but the demand has shot up.

And the example is, you know, the population increases, or let's say that the demand for a product has increased. Then we discussed what we call as supply-induced scarcity, a classic example of the geopolitical tensions now, which has disrupted the supply chain because of which the fuel and the petrol and the associated products have been hit, where the demand is the same but the supply dwindles, right? And then we have something called a structural scarcity, where some people tend to have less access to resource in comparison to others. So people living in rural areas, they tend to have lesser amenities in comparison to people who stay in urban areas. And then we discussed a concept which is called as utility.

What is this utility? Utility is nothing but the satisfaction a consumer gets upon consumption of goods and services. And then we discussed the concept of diminishing marginal utility, which means that as consumption increases, as the

quantity of goods consumed increases, the utility kind of drops down. And I gave the example of ice cream. The first consumption gives the maximum enjoyment.

But as consumption increases, this kind of drops down because you might be tired of the taste, you might be full. And when you overconsume it, what happens is there is something called negative utility. And I also showed how this can be used for pricing. What happens is if you have to increase the consumption, the company has to kind of price it accordingly, decrease the cost per unit in this particular case. Otherwise, you know, what happens is there is diminishing marginal utility, which means consumers don't buy.

And then we discussed the concept of rationality, where I said that human beings are rational animals. They do have some they do something called cost benefit and assessment, which means whenever we make certain choices, it is based on certain assessment and it varies from individual to individual, companies to companies. In most of the cases, they make decisions when benefits outweigh the cost and benefits are greater than the cost, but may not make decisions when costs are greater than benefits. However, this is strictly not the case, too. Let's say that there is a condition situation of condition of monopoly.

or what we call where we have less availability of alternatives in such cases, this may not hold good. And then we came to the concept of opportunity cost, which is when we decide to buy something, we kind of forego, we kind of give up, forego something else, like we have to give up or reject the other choices. And the cost associated with such lost opportunities is what we refer to as opportunity costs. So let's say that you wish to buy some groceries, If you decide to buy near your home, you pay an MRP versus you buy in a supermarket, which is let's say 15, 20 minutes away.

If you decide to buy it at your place near your home, and you pay that MRP, which is the extra money, the opportunity cost is this could be utilized for something else. But if you decide to drive 20 minutes and buy it in a supermarket, that time could have been utilized for something else. So that is the

opportunity cost. And as I said, finally, that there is something called division of labor, which is people earn money by specializing in some particular tasks, which could be nursing, farming, kind of making furniture. We call it division of labor.

And then we concluded with the four economic sectors, which is primary, secondary, tertiary and quaternary. In primary, the workers kind of extract raw materials from the earth. Secondary involves conversion of raw materials into finished products. Tertiary is more of a service sector and quaternary is your scientific R&D, which is research and development, education, public sector. When we come back in the next video, you will be discussing more about what we call the demand and supply.

And more depth discussion on economics and the associated problems will be taken in the live session by Dr. Aditya Chandel, my colleague, and all of which will be included in is a part of your syllabus. So where he shall discuss more about economics, something called as PPF about your marginal utility and the marginal costs. About inventory, demand supply, et cetera. In the next video, Professor Siddharth Arora would touch upon what we call as the demand supply. This will be followed by week three, which will be on understanding the basic differences between B2C versus B2B, the organizational buying behavior, some topics on negotiation and followed by finance.

And we would be ending the series with what we call as the seven steps of selling and what we refer to as service failure. So I hope that this kind of gives you a little bit of basic understanding on the concepts. And I look forward to meeting you in the next video. Thank you.